

APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY

Sixth Semester B.Tech. Degree Examination June 2022 (2019 Scheme)

Course Code: HUT300

Course Name: INDUSTRIAL ECONOMICS & FOREIGN TRADE

Max. Marks: 100

Duration: 3 Hours

PART A - Answer all questions, each carries 3 marks.

1. Describe factors of production

Factors of production are the inputs needed for the creation of a good or service.

- The factors of production include **land, labour, capital and entrepreneurship**.
- When **factors** are used they earn a **reward** called a **factor 'income'**.
- **Factor** incomes are: rent, wages, interest and profit.

2 What should be the percentage change in price of a product if the sale is to be increased by 50 percentages and its price elasticity of demand is 2?

Answer: Please refer the note book

3 What is the economic significance of opportunity cost?

- Opportunity cost is the cost expressed in terms of opportunity sacrificed.
- In other words, opportunity cost is defined as the next best alternative that is sacrificed. When a resource is put to one use, its alternative uses are sacrificed. The cost of something expressed in terms of alternatives sacrificed is called opportunity cost.

4 Define marginal utility.

Marginal Utility (MU) is the utility obtained from the last unit consumed. In other words, MU is the additional utility obtained by consuming one more unit of a good or service per unit of time.

Marginal Utility (MU) = Change in TU/Change in number of units consumed

$$MU = \Delta TU / \Delta Q$$

5 What are the features of perfect competition?

Perfect competition is a market structure characterised by large number of buyers and sellers producing homogeneous product and selling at an identical price with freedom of entry and exit.

Features

1. Large number of buyers and sellers
2. Homogeneous product
3. Freedom of entry and exit
4. Perfect mobility of goods and factors of production

6 Define market structure.

- **Market** refers to all the places in which buyers and sellers are in contact with each other for the purchase and sale of any commodity or service.
- There are different types of market structures in an economy. It depends on nature of competition, type of product, number of buyers and sellers, freedom of entry and exit from the market etc.
- Based on these features a market can be **perfect competition, monopoly, monopolistic competition, oligopoly** etc.

7 Differentiate between GDP and GNP.

Gross National Product (GNP)

Gross National Product is the total money value of all final goods and services produced by a country in a year. GNP includes GDP and net factor income from abroad

$$\text{GNP} = \text{GDP} + \text{NET Factor Income from Abroad}$$

OR

$$\text{GNP}_{\text{MP}} = \text{GDP}_{\text{MP}} + \text{Net Factor Income from Abroad}$$

8 What is money market & define its functions.

Money market is a short- term credit market which deals with the relatively liquid and quickly marketable assets like short-term government securities, treasury bills etc.

Functions

1. **Financing Trade:** Money market finance internal and international trade.
2. **Financing Industry:** Money market contributes to the growth of industries. Money market helps the industries in securing short-term loans to meet their working capital requirements.
3. **Profitable Investment:** Money market enables the commercial banks and other financial institutions to invest their excess reserves in profitable way.
4. **Economic Growth:** Since money market helps in the development of trade, industry and agriculture, it promotes overall economic growth.

9 What do you mean by BOP?

Balance of payments is a systematic record of all economic transactions of a nation with the rest of the world for a specific period of time.

The main purpose of balance of payments is to inform the Governments regarding the international currency position of the nation and to help in the formulation of policies accordingly.

10 What is free trade and what are its advantages?

FREE TRADE

A free trade policy is one which does not impose any restriction on the exchange of goods and services between different countries. Thus, a free trade policy permits international flow of goods and services without any artificial impediments. In other words, a free trade policy is necessarily a non-discriminatory trade policy.

Advantages

1. Maximization of Total Output
2. Optimum Use of Resources
3. Larger Factor Incomes
4. Prevents Monopolies
5. Promotes International Co-operation

PART B

Answer one question from each module, each carries 14 marks.

Module I

11 a) What is a production possibility curve? With the help of a production possibility curve, explain 1) Under-utilization of resources 2) Full employment of resources. (8)

- PPC represents the various combinations of two goods which can be produced with the help of given resources.
- A production possibility curve for an economy is drawn on the basis of several assumptions.
 - ❖ There are only two commodities that can be produced with given resources in an economy.
 - ❖ The resources are fully employed.
 - ❖ The techniques of production remain constant.

Let us suppose that a country is producing only two goods say 'X' and 'Y'. Since resources are limited and fully employed the quantity of 'X' and 'Y' produced are limited. A decision has to be made about the quantity of each commodity to be produced. Any increase in the production of 'X' normally reduces the production of 'Y'.

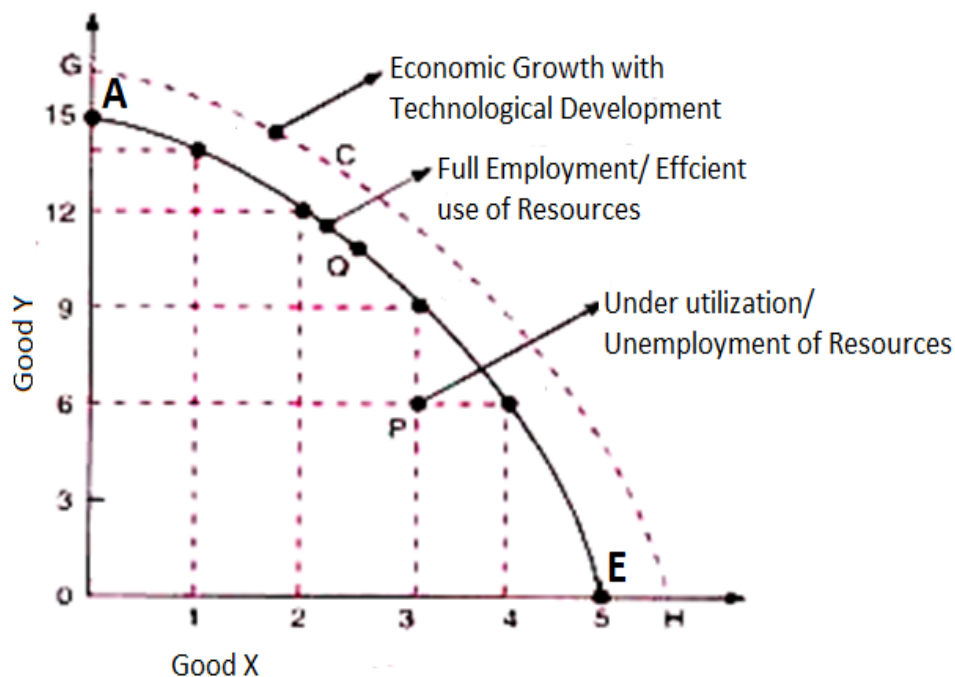
Production Possibilities	Output of 'X' Good	Output of 'Y' Good
A	0	10
B	1	9
C	2	7
D	3	4
E	4	0

Given above are some of the alternative combinations of 'X' and 'Y' commodities, which the country can produce.

At possibility '**A**', the country is devoting all its resources to the production of '**Y**' commodity while at possibility '**E**', resources are used to produce '**X**' commodity only. Possibilities B, C, and D

represent different combination of 'X' and 'Y' goods, which the country can produce.

The production possibilities shown in the above table can be graphically illustrated in the following diagram.



The curve 'AE' so obtained is called production possibility curve. Any point on the PPC represents full employment of resources, and any point inside the PPC represents unemployment of resources, upward shifting of PPC shows the economic growth or growth of resources.

b) What are the components of demand and state law of demand?

(6)

Demand for a commodity is the desire for it backed by willingness and ability to pay.

1. Price of a commodity: A change in the price will affect the demand for a commodity. Higher the price, lower will be the demand and vice-versa.
2. Income of the consumer: Generally higher the income of the consumer, higher will be the demand and vice-versa.
3. Price of related commodities: The prices of other related goods influences the demand for a particular commodity.

4. Tastes and preferences of consumers: Tastes and preferences of the household influence the demand for a commodity.
5. Interest Rate: If credit is available at low rates of interest, demand will increase.

Law of Demand

The law of demand explains the inverse relationship that exists between price and quantity demanded. The law states that other things remaining the same, as price of a commodity falls, its quantity demanded increases and vice-versa. The downward sloping demand curve shows this inverse relationship.

OR

12 a) Explain the law of diminishing marginal utility with diagram?

(8)

Law of Diminishing Marginal Utility (Gossen's first law)

The law of diminishing marginal utility states that, as a consumer consumes more and more units of a commodity, the marginal utility goes on diminishing.

In other words, the extra utility received from consuming each additional unit diminishes. As the law was first explained by a German Economist Hermann Heinrich Gossen, it is known as Gossen's first law.

The law can be explained with the help of an example. Suppose a boy consumes more and more ice creams. The changes in his marginal utility and total utility is shown in the following schedule.

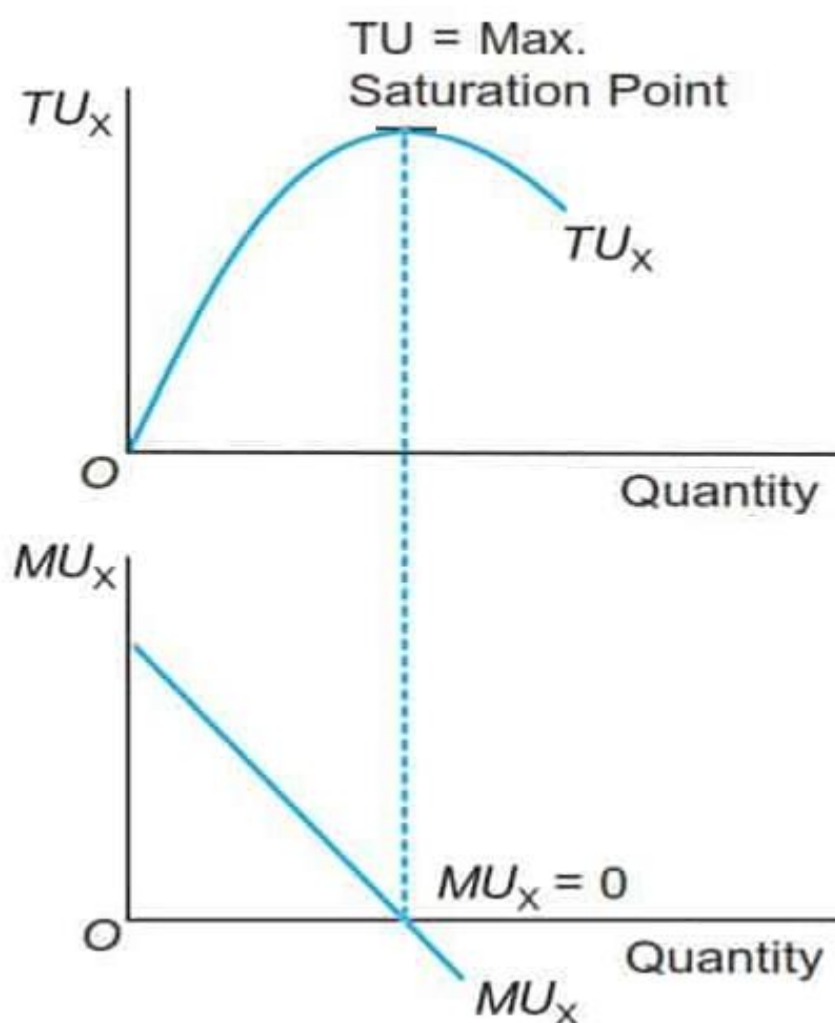
No of ice creams consumed	0	1	2	3	4	5	6	7
Total Utility (TU)	0	10	18	24	28	30	30	28
Marginal Utility (MU)	--	10	8	6	4	2	0	-2

It can be seen that as the consumer consumes more and more ice creams TU increases but at diminishing rate. This is because MU is decreasing with each additional unit of consumption.

That is the consumption of second ice cream will give less satisfaction as compared to the satisfaction from the first one. When consumption is six units MU is zero. This is the point of saturation.

Further increase in consumption may cause discomfort to the consumer and hence total utility decreases. In other words, MU becomes negative.

The changes in MU and TU can be understood with the help of the following diagram.



In the above diagram, consumption is measured along the X-axis and utility along the Y-axis. As consumption increases TU curve rises but MU curve comes down. When the MU curve touches the X-axis TU curve attain its maximum height. With further increase in consumption TU curve bends down because of negative MU.

b) State the law of supply and explain the determinants of supply.

(6)

Supply can be defined as the quantity of a commodity offered for sale at a price during a given period of time. Supply increases with increase in price and decreases with decrease in price.

Determinants of Supply

1. Price of the commodity: A change in the price will affect the supply of a commodity. Higher the price, higher the quantity supplied and lower the price, lower will be the output supplied.
2. Prices of factors of production: Prices of factors of production have a direct effect on the cost of production and consequent change in the supply of commodity. Higher the prices of factors of production lesser the amount of commodity produced and supplied and vice-versa.
3. Goals of the firm: Supply of a commodity depends on the objectives of the firm. If the firm aims to maximize the sales or revenue the producer will be ready to produce larger amounts of commodities and thereby increase supply in the market.
4. Technology: When there is a technological improvement cost of production decreases and hence supply increases.
5. Govt. policies: If the govt. increases the tax on a product its supply decreases.

Module II

13 a) Discuss cost-output relationship in short-run and long-run.

(8)

- Short-run costs are the costs in the short period. In the short-run, there are fixed costs and variable costs. In the long run there is only variable costs.
- Fixed costs are those costs which remain fixed. Fixed costs do not change with output. Examples of fixed costs are rent on land and building, salaries to permanent employees, insurance premium etc.
- Variable costs are those costs that vary with output. As output increases, variable costs increase. If output is zero, variable cost is zero. Examples of variable costs are cost of raw materials, expenditure on fuels, transportation costs etc.

Long run cost

Long run is a period which is sufficient to increase the quantities of all the factors such as building, machinery, labor, raw materials etc. Hence all the factors are variable in the long run and therefore, there is no fixed cost.

➤ Long run total cost (LTC)

It is the minimum cost at which a given level of output can be produced in the long run.

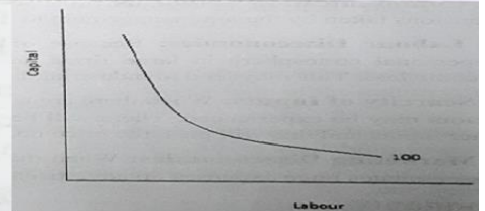
b) What are isoquant curves? State their properties.

(6)

An isoquant is a curve which shows various combinations of two inputs which give the same level of output. 'Iso' means equal and quant means quantity. That is equal quantity of output. Isoquants are also called isoproduct curves or equal product curves. The construction of an isoquant can be explained with the help of the following schedule.

Combinations of Labour and Capital	Units of Labour (L)	Units of Capital (K)	Output of Cloth (meters)
A	5	9	100
B	10	6	100
C	15	4	100
D	20	3	100

In the above schedule labour and capital are taken as the two inputs. All the given combinations of labour and capital produce the same level of output, that is 100 meters of cloth. The graphical representation of the schedule gives an isoquant. This is given below.



Properties of an Isoquant

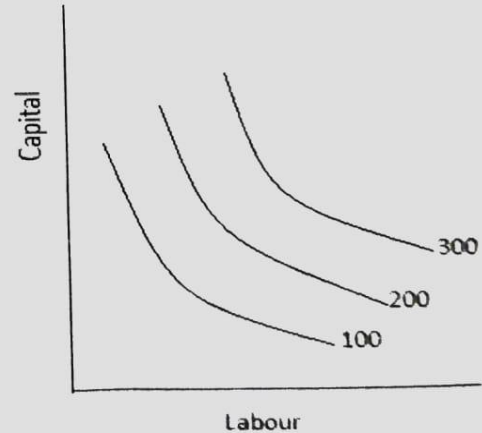
The following are the important features or properties of isoquants.

1. **Isoquants are negatively sloped.** An isoquant represents a particular level of output. Hence, when the quantity of one factor input is increased, the quantity of the other input has to be decreased in order to keep the output constant. Therefore, isoquants are negatively sloped.

2. **Isoquants are convex to the origin.** This is because along the isoquant $MRTS_{LK}$ (Marginal rate of technical substitution of labour for capital) goes on decreasing. $MRTS_{LK}$ is the rate at which one input is replaced by the employment of additional units of the other factor. In other words, how much of capital is replaced by the employment of an additional unit of labour. This is the slope of the isoquant. Slope of the isoquant is $\Delta K / \Delta L$.

3. **Two isoquants never intersect.** Each isoquant represents a particular level of output. When two isoquants intersect, the intersecting point will be common and it can be two different levels of output. Logically this is not correct.

4. **Higher isoquants represents higher levels of output.** A set of isoquants drawn is called an isoquants map. In isoquants map higher isoquant represents higher levels of output.



OR

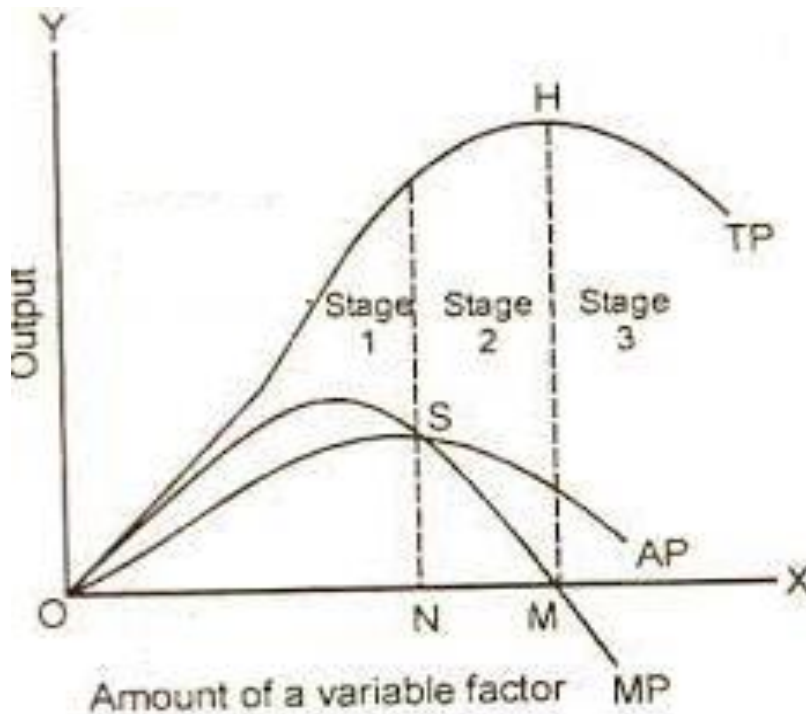
- 14 a) In a production function, $Q=2L^{1/2}K^{1/2}$. If $L= 36$, 1) How many units of capital are needed to produce 60 units of output. 2) In the production function, $Q=2L^{1/2}K^{1/2}$ determine the percentage increase in output if labour is increased by 10% assuming capital is held constant.

(8)

b) Explain the law of variable Proportions.

(6)

- ❖ Law of Variable Proportion explains the production function in the short run. It may be stated in the following words.
- ❖ *"When more and more units of variable factor are combined with fixed quantities of other factors, the increase in total production after a point become smaller and smaller."*
- ❖ Three stages of the law.
- ❖ When more and more units of a variable factor are applied, while keeping the fixed factor constant, the total product passes through three stages.



Stage 1 (stage of increasing returns):

In the first stage Total Product (TP) increases at an increasing rate; Marginal Product (MP) also rises. It will be maximum at this stage and Average Product (AP) goes on rising. The stage 1 ends when Average Product reaches its highest point.

Stage 2 (Stage of Diminishing returns):

In stage 2, Total Product continues to increase at a diminishing rate until it reaches its maximum point, both Marginal Product and Average Product of the variable factors are diminishing but are positive. At the end of this stage Marginal Product (MP) is zero.

Stage 3 (Stage of Negative Returns):

Total Product declines, Marginal Product becomes negative and average product is declining in the third stage.

Module III

Comparison Between perfect competition, monopoly, monopolistic competition and oligopoly

Perfect Competition	Monopoly	Monopolistic Competition	Oligopoly
Large no. of buyers and sellers	Single Seller and large no. of buyers	Large number of buyers and sellers	Few sellers and large no of buyers
Homogenous product	Single product without close substitutes	Differentiated product	Homogenous or Differentiated
Freedom of entry and Exit	Freedom of entry restricted	Freedom of entry and exit	Barriers to entry
No selling cost	No selling cost	Selling cost	Selling cost
Perfectly elastic demand curve	Downward sloping less elastic demand curve	Downward sloping more elastic demand curve	Indeterminate demand curve

b) What is collusive oligopoly?

(6)

A cartel is an agreement of co-operation formed between competitors in a specific industry. In other words, all types of formal agreements reached among the oligopolistic firms of an industry are known as cartel. The best example of a cartel today is the Organization of Petroleum Exporting Countries, otherwise known as OPEC.

Collusion is a secretive agreement between two or more organizations, formed with the aim of gaining illegal mutual benefits. In other words, Collusion is an informal agreement between competitive parties to cooperate to limit competition and raise prices, increasing monopoly power and raising profits.

OR

16

a) What is pricing and what are the different methods used for pricing?

(8)

Pricing is a process of fixing the value that a manufacturer will receive in the exchange of services and goods.

1. Cost Plus or Markup Pricing

Under this strategy price is the sum of cost and a profit margin. Usually, average cost is used for this purpose. Therefore, it is also called Average Cost Pricing or Full Cost Pricing. Thus, the price will be

$$\text{Price} = AC + m \quad \text{Where } m \text{ is the percentage of markup.}$$

2. Target Return Pricing

This method is similar to cost plus pricing. But the main difference is that cost plus pricing, the profit margin is decided arbitrarily, whereas under this method producer rationally decides the minimum rate of return.

3. Penetration Pricing

When a firm wants to enter into a market which is already dominated by existing firms, the only option is charging a price less than the existing price. This price is called penetration price. Reliance has adopted this kind of a pricing strategy in the mobile phone industry.

4. Predatory Pricing

Under predatory pricing the predator, already a dominant firm, sets its prices too low for a sufficient period of time so that its competitors leave the market and others are deterred from entering. This kind of predation is done on the expectation that these present losses (or foregone profits) will be compensated by future gains.

b) Explain kinked demand curve.

(6)

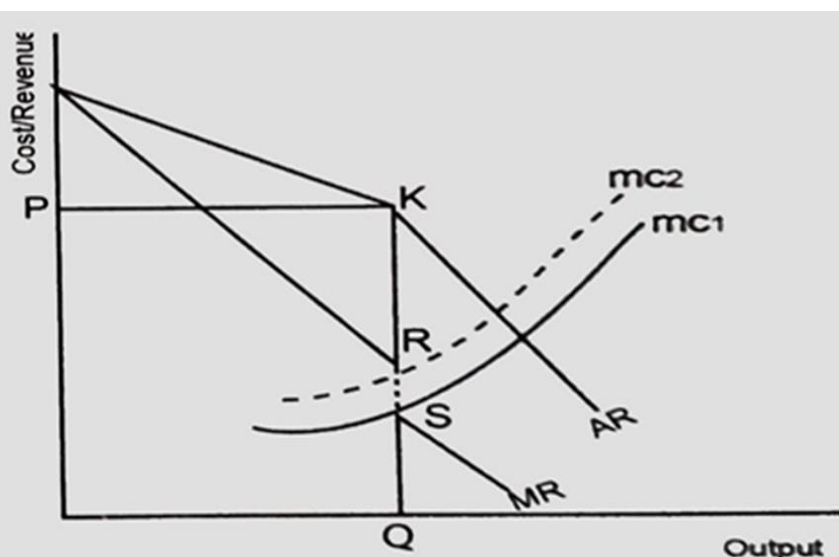
Price and output determination-Kinked demand curve model

The kinked demand curve model was developed by Paul M Sweezy in 1939. Kinked demand curve explains price rigidity under oligopoly on the basis of following assumptions.

- i. If a firm increases its price others will not follow.
- ii. If a firm decreases its price others will also do the same.

Usually in oligopoly firms will not enter into a price war and hence price remains rigid. If one firm decreases the price others will also reduce price. Hence firm's demand will not increase but at the same time it will affect their profitability. On the other hand if the firm increases the price others will not increase the price and hence it will lose its customers. Therefore a firm under oligopoly stick to its price.

This kind of behaviour in oligopoly was explained by the kinked demand curve. The lower part of the demand curve is less elastic because a firm cannot gain from a price cut. The upper part of the demand curve is more elastic because there will be a substantial fall in demand if there is a price hike. Thus, in the following diagram we can see that there is a kink at point K in the demand curve.



This kink in the demand curve or AR curve at point K creates a discontinuity in the MR curve. At the kink MR remain unchanged between points S and R. Marginal cost curve mc1 intersect MR curve at point S and OQ is the equilibrium level of output. Suppose cost increases and MC curve shifts upwards as mc2 there will not be any change in equilibrium price and quantity till MC reaches the point R in the gap.

Module IV

17 a) Explain the methods of national income calculation. (8)

There are three methods of measuring national income. They are;

1. Product Method or Value Added Method
2. Income Method, and
3. Expenditure Method

1. Product method or Output method

Product method is also known as output method or value added method. The value added method, the value of all final goods and services produced in the economy is to be calculated.

The value added method of calculating national income involves the following three steps.

i) Classifying the Production Units in to Sectors

All the production units in the economy are broadly classified in to the following three sectors.

a. Primary Sector : This includes agriculture and allied activities, fishing, mining, quarrying etc.

b. Secondary Sector (Manufacturing Sector): This sector includes all the units engaged in manufacturing goods. (manufacturing involves transforming one type of commodity in to another type).

c. Tertiary Sector(Service Sector) : The tertiary sector includes all the units engaged in the production of services. The Important services are transport and communication, trade and commerce, banking, insurance, education, health etc..

ii) Estimating the Gross Value-Added

Estimating the gross value added by each unit and each sector and finally summing it up to get the value of the domestic product or GDP($GDP = \sum GVA_i$).

iii) Calculating the net factor income from abroad

Calculating the net factor income from abroad and adding it to the value of the domestic product to get gross national product (GNP).

$$GNP = GVA + \text{Net factor income from abroad}$$

or

$$GNP = GDP + \text{Net Factor Income from Abroad}$$

By subtracting the total amount of depreciation from the figure of gross national product, we get the net national product, or national income.

$$NI \text{ or } NNP = GNP - \text{Depreciation}$$

2. Income Method

Income method measures the national Income from the distribution side. According to this method, national income is obtained by summing up of the incomes of all individuals in the country. It means it is the total of incomes received by all the factors of production in a country during a given period.

The income method of calculating national income involves the following four steps.

i) Classifying production units in to sectors:

All the production units in the economy are broadly classified in to the following three sectors. Primary, Secondary and Tertiary sector.

ii) Classifying factor incomes:

Using the income method, factor incomes are classified in to three broad categories. They are;

a) Compensation to Employees : Compensation to employees consists of wages and salaries paid to labour in cash or in kind. (eg. Employer's contribution to P.F, free ration, free housing, medical benefits etc.)

b) Operating Surplus : Operating surplus consists of rent, interest, and profit.

c) Mixed Income : Mixed income is the income of self-employed persons.(The income earned by self-employed persons will have the elements of wage, rent, interest and profit. Hence it is known as mixed income).

iii) Estimating factor incomes :

iv) Calculating the net factor income from abroad

Calculating the net factor income from abroad and adding it to the value of the domestic product to get gross national product (GNP).

$$\text{GNP} = \text{GDP} + \text{Net factor income from abroad}$$

By subtracting the total amount of depreciation from the figure of gross national product, we get the net national product, or national income.

$$\text{N I or NNP} = \text{GNP} - \text{Depreciation}$$

3. Expenditure Method

Expenditure method measures national income from the expenditure side. Here, the total expenditure of the economy on the final goods and services produced is calculated.

The expenditure method of calculating national income involves the following steps;

i) Identifying the components of final expenditure

There are four major components of final expenditure. They are;

a) *Private final consumption expenditure* b) *Govt. final consumption expenditure*

c) *Investment Expenditure: This is the expenditure for acquiring capital assets.*

d) *Net exports: Exports minus imports gives us the value of net exports.*

ii) Estimating the Total Expenditure Incurred

The aggregate value of the four components of final expenditure gives us the value of the GDP ($GDP = C + I + G + (X - M)$).

iii) Calculating the net factor income from abroad

Calculating the net factor income from abroad and adding it to the value of the domestic product to get gross national product (GNP).

$$GNP = GDP + \text{Net factor income from abroad}$$

By subtracting the total amount of depreciation from the figure of gross national product, we get the net national product, or national income.

$$NI \text{ or } NNP = GNP - \text{Depreciation}$$

b) What are the difficulties in the measurement of NI?

(6)

1. Inadequacy of statistical data. – In developing countries accurate and adequate statistical data is not maintained.

2. Illiteracy of farmers- Farming is the main activity in developing countries but majority of the farmers are illiterate. Hence they do not keep proper accounts of their production.

3. Lack of occupational specialisation – In developing countries people are mostly unskilled and they earn their income from more than one occupation. Hence it is difficult to compute their income.

4. Production for self consumption- In developing countries a major part of the agricultural output is consumed by the farmers themselves. Hence its value cannot be estimated.

5. Existence of a non monetised sector – In developing countries, in villages people still make certain barter transactions.

Besides, black money, price changes etc. also pose problems to national income estimation.

OR

18 **a) What is inflation and what are the fiscal policy measures to control inflation?** (8)

- Inflation is a situation in which there is a persistent rise in the general price level. In other words it is a situation in which there is an upward movement in the average level of prices.
- According to Coulborn it is a situation in which “too much money chasing too few goods”. That is the availability of goods is less when compared to the supply of money.

Fiscal Policy: Fiscal policy is the budgetary policy of the govt. relating to taxes, public expenditure, public borrowing and deficit financing. These are the measures taken by the govt. to control the aggregate demand in the economy. The main fiscal measures to curb inflation are as follows;

- **i) Reduction in public expenditure:** During inflation the government cut down its expenditure on developmental activities and welfare programmes. This reduces government demand for goods and services as well as private income. When the government spend less money, income of the individuals decreases. Hence aggregate demand decreases.
- **ii) Increase in taxes:** Taxation plays a significant role in curbing inflation. Increase in direct taxes decreases the disposable income of the people and hence they spend less money.

- **iii) Public borrowings:** Public borrowing is another method of controlling inflation. Through public borrowing, the government takes away from public excess purchasing power. This will reduce aggregate demand and hence the price level.

- **iv) Control of deficit financing:** Deficit financing means financing the deficit budget through printing of new currency, borrowing from central bank etc. In order to control inflation, the government should minimize deficit financing.

b) What is repo rate and how it controls inflation? (6)

Repo (repurchase) rate is the rate at which the RBI lends short-term money to the banks against securities. When the repo rate increases borrowing from RBI becomes more expensive. (Bank rate is the rate at which Central bank lends money to the commercial banks for meeting shortfall for a long period without selling or buying any security.)

An increase in the repo rate leads to an increase in the interest rate charged by commercial banks which, in turn, discourages borrowing by businessmen and consumers. This will reduce money supply with public and thus control the inflationary pressure.

Module V

19 a) State and explain the Heckscher -Ohlin theory of international trade. (8)

3. The Heckscher-Ohlin Theorem or Factor Endowment Theory

The factor endowment theory was originally developed by Eli Heckscher in 1919. Later in 1935 it was refined by his student Bertil Ohlin. Hence the theory is popularly known as Heckscher-Ohlin Theorem. It is a two-country two-commodity model. The following are the important assumptions of the model.

1. There is perfect competition in the factor market and product market.
2. Factors of production are perfectly mobile within the country but immobile between the countries.
3. Factors production are homogeneous.
4. There is full employment.
5. There is free trade between countries.
6. There is no transport cost.
7. Technology remains the same in both countries.

The classical theory showed that the basis of international trade was comparative cost differences. But it did not explain the reason for comparative cost differences. The Heckscher-Ohlin theorem tried to explain the causes of comparative cost differences that exist internationally. According to the theorem, the differences in comparative advantage among nations is mainly due to the differences in relative factor abundance or factor endowments.

Heckscher-Ohlin theorem can be stated as follows. A country will produce and export that commodity whose production requires the intensive use of the nation's relatively abundant and cheap factor and import the commodity whose production requires the intense use of relatively scarce and expensive factor. In other words, relatively labour abundant country will export the relatively labour-intensive commodity and import the relatively capital-intensive commodity.

In the Heckscher Ohlin theorem factors of production are considered as abundant or scarce in relative terms and not in absolute terms. For example, a country will be considered as capital abundant only if the ratio of capital to other factors is higher when compared to other countries.

Country A	Supply of labour	= 50
	Supply of capital	= 40
	Capital- labour ratio	= 0.8

Country B	Supply of labour	= 16
	Supply of capital	= 20
	Capital-labour ratio	= 1.25

In the above example, country A has more capital in absolute terms but country B is endowed with or abundant in capital because the ratio of capital to labour is high in country B.

Merits of Heckscher-Ohlin theory

1. Heckscher-Ohlin theory provides a more comprehensive and satisfactory explanation for foreign trade.
2. Heckscher-Ohlin theory explain the reason for comparative cost differences between nations in terms of factor endowments.
4. The Heckscher-Ohlin theory highlights the role of relative prices of factors in determining the trade flow.
5. Heckscher-Ohlin theory highlights the impact of trade on product and factor prices.

b) What do you mean by devaluation? Explain the conditions for its success. (6)

- Devaluation means a deliberate reduction of the value of the domestic currency in terms of foreign currencies.

- A country which faces a serious problem of deficit in the balance of payments may resort to devaluation. This will stimulate their export and discourage import.
- When devaluation is effected, value of the home currency goes down against foreign currency.

Suppose, the exchange rate remains \$1 = ₹10 before devaluation.

Let us suppose, devaluation takes place which reduces the value of home currency and now the exchange rate becomes \$1 = ₹20. After such a change, our goods become cheap in foreign market. This is because, after devaluation, dollar is exchanged for more Indian currencies which push up the demand for exports. At the same time, imports become costlier as Indians have to pay more currencies to obtain one dollar.

Thus, demand for imports is reduced.

OR

20 a) Explain any four measures to solve the problem of deficit in the balance of payments. (8)

When there is deficit in the balance of payments, it has to be corrected. The following are the important measures to correct balance of payments disequilibrium.

1. Automatic Correction: When there is a dis-equilibrium in the balance of payments, the economy will try to correct it automatically with the help of demand supply mechanism. For example, when there is a deficit, or the demand for foreign exchange exceeds its supply, the exchange rate will be adjusted accordingly and there will be a fall in the external value of the domestic currency. This will increase the exports and correct the deficit.
2. Deliberate Measures

The three deliberate measures are a) **Monetary measures** b) **Trade measures** and c) **Miscellaneous measures**

a) **Monetary measures:** The important monetary measures are

i) **Monetary contraction or expansion:** Expansion or contraction of money supply can affect the balance of payments position. When there is a deficit, a contraction of money supply will decrease the purchasing power of the people

and hence the aggregate demand as well as the price level falls. This reduces the imports.

ii) Devaluation : Devaluation means a deliberate reduction of the value of the domestic currency in terms of foreign currencies. When there is a deficit in the balance of payments, devaluation of the currency encourages export and discourages import. Devaluation makes the domestic goods cheaper for the foreigners and foreign goods expensive for the people in the home country.

iii) Exchange control: Under exchange control, the Government or the central bank will have the complete control over the foreign exchange earning of the country. The Government will keep the entire foreign exchange earnings and this helps the Government to control imports.

b) List any six arguments in support of protectionism.

(6)

Protection refers to the foreign trade policy of encouraging home industries by paying bounties (or giving subsidies) to domestic producers or more usually by imposing customs duties on foreign products.

Arguments for Protection

The Revenue Arguments : The main objective of giving protection to the home industry by imposing import duties is to earn revenue because only foreigners pay tax.

Protection Saves Jobs : The use of tariffs discourages imports and raises their prices to the domestic consumers. This leads to diversion of demand for goods produced at home. The home industry is encouraged and thus more employment is provided for the home population.

To Check the Import of Luxuries and Harmful Goods: Another argument is advanced in favour of protection is that it checks the import of many harmful and luxury goods. Their import adversely affects the character of the people. In order to escape from the harmful effect of these goods, protection is quite helpful.

Protection Safeguards National Security : In times of war or any other emergency, dependence on foreign goods, which are very essential, may not be available. Therefore, a country must build up its own industry and develop farming industry even if these involve an economic loss to the country.

Protection for Conserving Natural Resources : Protection is essential for preserving the natural resources of a country. The unchecked trade often leads to exhaustion of mineral resources which are very vital for the development of the country.

Protectionism Promotes “Keep Money at Home” : When domestic residents buy imported goods, the country gets the goods and the foreigners get the money. On the other hand, when the residents buy domestic goods, the country keeps both the goods and the money. Hence, the country gets richer by preventing imports.

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